

money on rent. Since Heather was having a slow year due to the slump in the real estate market, that would not have been a bad idea. Unfortunately, all good ideas are not always practical.

Their combined average net income per month was only \$3,500. After they paid their BMW and Lexus payments and their rent, they had barely enough money to take care of their credit card bills, make student loan payments, and buy groceries. In fact, their car expenses by themselves were almost 50 percent of their income. Following the 20 percent debt rule (see Chapter 3), the Jones were extremely overextended.

Bill decided to turn his Lexus in after his lease expired and have Heather do the driving. Not having Bill's expensive car insurance or car payment reduced their car expenses by more than half. Of course, it was not as convenient to drop Bill off at work or pick him up afterwards, but it was possible since Bill didn't need his car during the day. He spent all his time in his office building and didn't have to travel. Heather had to arrange her client appointments around Bill's schedule, which sometimes caused a conflict. But all in all, the conflicts caused by carpooling were quite minor compared to the arguments they used to get into when it came time to pay bills each month.

They are now concentrating on saving the money that otherwise would have gone to pay Bill's automobile expenses. After two years of a clean driving record, Bill's insurance company has promised to give Bill a reduction on his car insurance premiums. By that time, they should have saved enough money to buy Bill a car. This car will have much lower payments than his previous one since they will put a large percentage of the total price into the down payment.

They have also realized an unexpected side benefit. They find they actually talk more to each other. The time they spent in the car together was time that they used to spend

